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Case Number: 26PSCV01532 Hearing Date: July 30, 2026 Dept: H

Sixth &

Proctor, LLC v. YS Express, Inc., et al., Case No. 26PSCV01532

ORDER ON

DEMURRER

Defendant Richard Jodzio's

Demurrer to Plaintiff's Complaint is SUSTAINED, with 20 days' leave to amend.

Background

Plaintiff

Sixth & Proctor, LLC ("Plaintiff") alleges as follows:

Plaintiff

owns the property located at 240 S. 6th Avenue in the City of Industry ("Property"). On or around December 7, 2017, Plaintiff and third party, Frontline Carrier Systems USA, Inc. ("Frontline") entered into a lease agreement ("Master Lease A") relating to approximately 100,000 square feet of the Property, designated as Unit A ("Premises A"). In early 2020, Plaintiff and Frontline entered into an amendment to Master Lease A, in which Plaintiff agreed to temporarily reduce Frontline's monthly base rent for Premises A under Master Lease A ("2020 Amendment to Master Lease A"). Richard Jodzio ("Jodzio") executed a personal guaranty in connection with the 2020 Amendment to Master Lease A.

In

around May 2023, Plaintiff and Frontline executed another amendment to Master

Lease A when Frontline wished to sublease Premises A to a subtenant, YS Express, Inc. (“YS Express”). In around May 2023, Plaintiff and Frontline executed a second lease agreement (“Master Lease B”) for an additional 27,000 square feet of the Property (“Premises B”). Premises A and B are jointly referred to as the “Premises” and Master Lease A and Master Lease B are jointly referred to as “Master Leases.” In around May 2023, Frontline and YS Express executed a sublease (“Sublease”), in which YS Express sublet the Premises. On May 25, 2023, Plaintiff notified Frontline that it was in breach of the Master Leases and (and that YS Express was in breach of the Sublease) because no poof of insurance had been provided before YS Express commenced its occupancy. Plaintiff was thereafter provided with a Certificate of Liability Insurance (“COI”), which was signed by Ivy Chang (“Chang”), a purported agent of Heights Insurance Group dba KCAL Insurance Agency (“KCAL”).

In
around May 2025, Plaintiff discovered YS Express had caused significant damage to the Premises. In around June 2025, YS Express vacated the Premises. In July 2025, Frontline also vacated the Premises. On April 7, 2026, Plaintiff submitted a claim to YS Express’ Commercial General insurance carrier and learned that it had never been named as an additional insured under the policy and that the policy had not been renewed after 2024.

On
April 29, 2026, Plaintiff filed a complaint, asserting causes of action against YS Express, Jodzio, KCAL, Chang, and Does 1-20 for: (1) Breach of Written Contracts [Master Leases], (2) Negligence Resulting in Property Damage, (3) Fraud [Intentional Misrepresentation, Fraudulent Concealment, Fraudulent Non-Disclosure], (4) Breach of Written Contract [Guaranty], (5) Fraud [Intentional Misrepresentation/Fraudulent Concealment], and (6) Negligent Misrepresentation.

A Case
Management Conference and an Order to Show Cause Re: Failure to File Proof of Service are set for September 10, 2026.

Legal
Standard

A demurrer may be made on the grounds that the
pleading, inter alia, does not state facts sufficient to constitute a cause of

action. (Code Civ. Proc., § 430.10, subd. (e).)

"A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed." (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905 [citations omitted].) At the pleading stage, a plaintiff need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (Semole v. Sansoucie (1972) 28 Cal. App. 3d 714, 721.) "[A] demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction placed on an instrument pleaded therein, or facts impossible in law, or allegations contrary to facts of which a court may take judicial knowledge." (S. Shore Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732 [citations omitted].)

Discussion

Jodzio demurs, per Code of Civil Procedure section 430.41, to the fourth cause of action in Plaintiff's complaint, on the basis that it fails to state facts sufficient to constitute a cause of action.

Jodzio asserts that Plaintiff's fourth cause of action fails because Plaintiff altered the underlying contractual relationship by authorizing Sublease and allowing the sublessor to damage the property under a void agreement, all without Jodzio's consent, thereby exonerating his obligations under the guaranty. The Court agrees.

"[A] surety cannot be held beyond the express terms of his contract." (U.S. Leasing Corp. v. duPont (1968) 69 Cal.2d 275, 289; Bank of America Nat. Trust & Savings Ass'n v. Kelsey (1935) 6 Cal.App.2d 346, 350 ["[T]he liability of the guarantor should not be extended by implication beyond the express terms of the instrument in which the guaranty is contained"].) This principle underlies the rule codified in Civil Code section 2819, which provides, in relevant part, that "[a] surety is exonerated, except so far as he or she may be indemnified by the principal, if by any act of the creditor, without the consent of the surety the original obligation of the principal is altered in any respect. . ."

Plaintiff has attached the guaranty as Exhibit C to its complaint. The guaranty provides, inter alia, that Jodzio "unconditionally and irrevocably guarantees the prompt payment by Lessee of all rents and all other sums payable by Lessee under the Lease and Amendment and the faithful and prompt performance by Lessee of each and every one of the terms, conditions, and covenants of said Lease and Amendment to be kept and performed by Lessee."

In this case, Frontline's original obligations were altered by its assumption of liability to Plaintiff for YS Express' conduct. Plaintiff next asserts that, even if Sublease did alter Frontline's obligations, Plaintiff did not "cause" Sublease because it lacked grounds to withhold consent to a commercially reasonable sublease under Civil Code § 1995.260 [i.e., "[i]f a restriction on transfer of the tenant's interest in a lease requires the landlord's consent for transfer but provides no standard for giving or withholding consent, the restriction on transfer shall be construed to include an implied standard that the landlord's consent may not be unreasonably withheld. . ."]. Sublease, however, was contingent on Plaintiff's consent, which was predicated on Plaintiff's evaluation of the commercial reasonableness of Sublease, which was itself a voluntary act.

Plaintiff asserts that, even if Sublease constituted an alteration of Master Lease A, Civil Code section 2819 is inapplicable because Jodzio explicitly waived his right to assert an exoneration defense. The guaranty provides, inter alia, that "the terms of the Lease (and Amendment) may be modified by written agreement between Lessor and Lessee, and said Lease may be assigned by Lessor or any assignee of Lessor without consent or notice to Guarantor and that this Guaranty shall guarantee the performance of said Lease as so modified." As Jodzio points out, the assignment language speaks exclusively to assignments by the Lessor (i.e., Plaintiff) and says nothing about assignments or subletting by the Lessee (i.e., Frontline).

Next, Paragraph 8.2 of Sublease provides that "[i]n the event that the obligations of the Sublessor under the Master Lease have been guaranteed by third parties, then neither this Sublease, nor the Master Lessor's consent, shall be effective unless, within 10 days of the date hereof, said guarantors sign this Sublease thereby giving their consent to this Sublease." (Complaint, ¶ 19, Exh. F). Paragraph 8.4 therein provides that "[t]he signatures of the Master Lessor and any Guarantors of Sublessor at the end of this document shall constitute their consent to the terms of this Sublease." Paragraph 1.9 therein provides that "[t]he obligations of the Sublessee under this Sublease are to be guaranteed by ______ ('Guarantor')." (Id.) No guarantor is identified in Paragraph 1.9. (Id.) Plaintiff does not allege that Jodzio signed Sublease, signed it as a guarantor, gave any guarantor consent contemplated by Paragraphs 8.2 or 8.4, or otherwise agreed to guarantee any obligations arising under Sublease.

Plaintiff reasons that the validity of Sublease "is a red herring" because since it is suing Jodzio for Frontline's failure to keep the premises in good repair under Master Lease A it makes no difference that the damage was caused by YS Express under an invalid agreement. (Opp., 7:14-22.) However, Plaintiff, by allowing YS Express to occupy the premises without a valid contractual right to do so, expanded Frontline's responsibility under the lease and increased the risks contemplated by that agreement and by the guaranty.

Plaintiff argues that the alleged failure to obtain Jodzio's written consent to Sublease rendered it voidable rather than void, such that it was "ratified" by the parties' conduct. (Opp., 7:23-8:8.) However, "[w]hen. . . two parties execute a contract with the understanding that the approval of a third party is necessary for the agreement to take effect, the contract is not complete until the third party has approved." (Santa Clara-San Benito etc. Elec. Contractors' Assn. v. Local Union No. 332 (1974) 40 Cal.App.3d 431, 436). Sublease's effectiveness was expressly conditioned on Jodzio's signature. Even if Sublease were merely voidable, Plaintiff's subsequent "ratification" would be an act by the creditor that altered the original obligation, triggering exoneration under section 2819.

Jodzio next asserts that Plaintiff's fourth cause of action fails because Frontline, the principal, would not be liable under Master Lease A for the alleged damages.(U.S. Leasing Corp. v. duPont (1968) 69 Cal.2d 275, 290 ["{S]ince the liability of a surety is commensurate with that of the principal, where the principal is not liable on the obligation, neither is the guarantor"].) The obligations in Paragraph 7.1 of Master Lease A, including Frontline's duty to maintain the premises "in good order, condition and repair," are subject to several other provisions, including Paragraph 9 (Damage or Destruction). (Complaint, ¶ 8, Exh. A, § 7.1 ["Subject to the provisions of Paragraph

. . . 9 (Damage or Destruction). . ., Lessee shall. at Lessee's sole expense, keep the Premises, Utility Installations (intended lor Lessee's exclusive use, no matter where located). and Alterations in good order, condition and repair. . .”].)

Under Paragraph 9.1(a), “Premises Total Destruction” is defined as “damage or destruction to the Improvements on the Premises, other than Lessee Owned Alterations and Utility Installations and Trade Fixtures, which cannot reasonably be repaired in 3 months or less from the date of the damage or destruction and/or the cost thereof exceeds a sum equal to 6 month’s Base Rent.” (Id., ¶ 8, Exh. A, § 9.1(a).) Here, Plaintiff has alleged that the cost to repair the damage was $1,000,000.00 (Id., ¶ 8, Exh. A, ¶ 32), which is in excess of six months’ worth of the monthly Base Rent at the time of discovery. Under Paragraph 9.4, Master Lease A terminated automatically 60 days following such destruction. Under these circumstances, Plaintiff’s right to recover damages from Frontline would be limited to “damage or destruction. . . caused by the gross negligence or willful misconduct of Lessee.” (Id., ¶ 8, Exh. A, § 9.1(a).) Plaintiff has not alleged that Frontline caused any of the damage set forth in the complaint. Even if YSE Express’ conduct could be attributed to Frontline in interpreting Paragraph 9.4, Plaintiff does not allege gross negligence or willful conduct.

Although Plaintiff contends that “Premises Total Destruction” applies only to damage from a “single event” and thus does not encompass the damage alleged here (Opp., 2:21-24), it ignores the disjunctive “and/or” language contained in the definition of “Premises Total Destruction.”

Lastly, Jodzio asserts that Plaintiff’s fourth cause of action fails because Plaintiff does not distinguish which portion of the alleged damage occurred at Premises A (to which the guaranty applies) and which portion occurred at Premises B (to which the guaranty does not apply). The Court agrees.

Jodzio’s demurrer to Plaintiff’s fourth cause of action is sustained, with leave given to amend.